

D550

Ethics for Accountants

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

An audit partner has led the engagement for a family-owned distributor for nine years and often golfs with its CEO. The firm's office is in the same building as the client. Under the AICPA conceptual framework, what is the main threat and the right response?

- A. A self-review threat; have the partner re-perform last year's work.
- B. No threat, since the partner owns no client stock.
- C. An advocacy threat, because the firm shares the client's building.
- D. A familiarity threat; apply safeguards such as rotating the partner or adding an independent review until the threat is acceptable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A staff auditor on the engagement team for a publicly traded retailer buys 50 shares of the retailer through her brokerage app, worth about \$1,200. Her net worth is over \$400,000, and the retailer is a household name. What is the effect on independence?

- A. Independence is impaired, because any direct financial interest held by a covered member impairs it regardless of size.
- B. Impaired in appearance only, so she can stay if she promises objectivity.
- C. No impairment, because \$1,200 is immaterial to her net worth.
- D. No impairment, because only the engagement partner is a covered member.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

An audit partner's spouse holds a small, immaterial amount of a client's shares only through a broad mutual fund the spouse does not control. Does this impair independence?

- A. Yes, because a spouse's fund holdings count as the partner's direct holdings.
- B. No; an immaterial indirect interest does not impair independence.
- C. Yes; any financial interest in a client impairs independence.
- D. Yes, because indirect interests are treated the same as direct ones.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A staff accountant at a manufacturer believes her supervisor is booking next quarter's sales early to hit a bonus target. She has worked there four years and is studying for the CMA exam. Under the IMA Statement of Ethical Professional Practice, what should she do first?

- A. Raise it with the next higher level of management above her supervisor.
- B. Report it to the SEC and the press right away.
- C. Discuss it first with her immediate supervisor.
- D. Wait until she earns the CMA so her concern carries more weight.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

Under the IMA Statement, an accountant who keeps information learned at work private except when disclosure is legally required is meeting which standard?

- A. Confidentiality.
- B. Integrity.
- C. Competence, since every standard is really about skill.
- D. Credibility.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

While preparing this year's return for a long-time client who owns three car washes, a CPA finds that last year's return, prepared by another firm, left out \$30,000 of income. The client has always paid fees on time. Under the AICPA Statements on Standards for Tax Services, what should the CPA do?

- A. Withdraw from the engagement immediately in every such case.
- B. Ignore it, since another firm prepared that return.
- C. Notify the IRS directly so the client is protected.
- D. Promptly tell the client about the error and its consequences and recommend correcting it; do not notify the IRS without the client's permission.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

A client refuses to amend a prior-year return after the CPA explains a material error in it. Under the SSTS, what may the CPA do?

- A.** Report the client to the IRS.
- B.** Consider withdrawing and, if continuing, make sure the error is not repeated on the current return.
- C.** Must withdraw immediately.
- D.** Repeat the same treatment this year for consistency.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

During inventory testing at a furniture maker, the controller hands the auditor a spreadsheet showing that obsolete stock was sold after year-end at full price. The controller has been with the company twenty years and is well liked. What reflects professional skepticism?

- A.** Accept the spreadsheet, given the controller's long record.
- B.** Obtain independent evidence such as shipping documents, customer invoices and cash receipts.
- C.** Recalculate the spreadsheet's totals.
- D.** Assume the controller is committing fraud and report to the board.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A CFO decides to disclose a product-defect liability early, reasoning that honesty is owed to investors no matter how far the stock drops. The company is based in Ohio and has 2,000 employees. Which ethical framework is the CFO using?

- A.** Utilitarianism.
- B.** Virtue ethics.
- C.** Deontology (duty-based ethics).
- D.** Ethical egoism.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

An accountant supports a layoff plan because it keeps the company solvent and protects the most jobs overall. Which framework is this?

- A.** Deontology.
- B.** Virtue ethics.
- C.** Justice-based ethics.
- D.** Utilitarianism.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A new tax associate notices a client's large deductions for business travel that match family vacations, but sees it only as a data-entry task, not an ethical issue. He joined during tax season and works long hours. In Rest's four-component model, which component is missing?

- A.** Moral motivation.
- B.** Moral judgment.
- C.** Moral sensitivity.
- D.** Moral character, because long hours wore down his resolve.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A CPA firm receives a valid court subpoena for a client's workpapers in a civil lawsuit. The client, a regional trucking company, asks the firm not to comply. The engagement partner is nearing retirement. What does the AICPA Code allow?

- A.** The firm may also share the workpapers with a company that wants to buy the client.
- B.** The firm must refuse, because client information is always confidential.
- C.** The firm may comply with the subpoena without the client's consent.
- D.** The firm must first get the client's written consent.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

An audit partner has led the engagement for a family-owned distributor for nine years and often golfs with its CEO. ~~The firm's office is in the same building as the client.~~ Under the AICPA conceptual framework, what is the main threat and the right response?

Target word: threat type and response **Decides:** Long tenure and a close personal relationship.

A	Confusion set	Self-review is evaluating one's own prior work product, not a close relationship.
B	Dropped element	Drops non-financial threats; relationships can threaten objectivity.
C	Camouflage	Sharing an address does not mean promoting the client's position.
D	Correct	Long association and social closeness create familiarity; safeguards reduce it.

2. Answer A Concept 2

A staff auditor on the engagement team for a publicly traded retailer buys 50 shares of the retailer ~~through her brokerage app~~, worth about \$1,200. Her net worth is over \$400,000, ~~and the retailer is a household name.~~ What is the effect on independence?

Target word: independence effect **Decides:** A covered member holds a direct financial interest.

A	Correct	Direct interests have no materiality threshold.
B	Dropped element	The rule is bright-line; a promise does not cure a direct interest.
C	Adjacent category	Materiality applies to indirect interests, not direct ones.
D	Confusion set	Everyone on the attest engagement team is a covered member.

3. Answer B Concept 2 · transfer

An audit partner's spouse holds a small, immaterial amount of a client's shares only through a broad mutual fund the spouse does not control. Does this impair independence?

Target word: indirect holding — reverse case **Decides:** Indirect and immaterial.

A	Adjacent category	Spouses are covered, but a fund the spouse does not control is still an indirect interest.
B	Correct	Indirect interests impair only when material.
C	Absolute language	The any-size rule applies only to direct interests.
D	Inverted operation	The Code treats them differently by design.

4. Answer A Concept 3

A staff accountant at a manufacturer believes her supervisor is booking next quarter's sales early to hit a bonus target. ~~She has worked there four years and is studying for the CMA exam.~~ Under the IMA Statement of Ethical Professional Practice, what should she do first?

Target word: first escalation step **Decides:** The immediate supervisor is involved.

A	Correct	When the supervisor is involved, the IMA guidance is to go to the next level.
B	Adjacent category	Outside disclosure is not appropriate unless legally required; internal channels come first.
C	Dropped element	Drops the exception for a supervisor who is involved.
D	Camouflage	Her credential status does not change her duty to act now.

5. Answer A Concept 3 · transfer

Under the IMA Statement, an accountant who keeps information learned at work private except when disclosure is legally required is meeting which standard?

Target word: name the standard from the behavior **Decides:** Keeping information private.

A	Correct	Protecting information except where disclosure is required is confidentiality.
B	Confusion set	Integrity concerns avoiding conflicts and acts that discredit the profession.
C	Absolute language	The four standards are distinct; competence covers skill and knowledge.
D	Adjacent category	Credibility is communicating information fairly and objectively.

6. Answer D Concept 4

While preparing this year's return for a long-time client ~~who owns three car washes~~, a CPA finds that last year's return, prepared by another firm, left out \$30,000 of income. ~~The client has always paid fees on time.~~ Under the AICPA Statements on Standards for Tax Services, what should the CPA do?

Target word: duty on discovering an error **Decides:** An error exists in a filed prior-year return.

A	Absolute language	Withdrawal is considered only if the client refuses to correct it.
B	Dropped element	The duty applies to any error the CPA becomes aware of.
C	Adjacent category	Disclosure to the taxing authority needs client consent.
D	Correct	The duty runs to the client; confidentiality bars direct disclosure to the IRS.

7. Answer B Concept 4 · transfer

A client refuses to amend a prior-year return after the CPA explains a material error in it. Under the SSTS, what may the CPA do?

Target word: next step after refusal **Decides:** The client declined correction.

A	Confusion set	Confidentiality still applies; refusal does not create a reporting duty.
B	Correct	The CPA protects the current return and weighs whether to continue.
C	Absolute language	Withdrawal is a judgment call, not automatic.
D	Inverted operation	Knowingly repeating the error is not allowed.

8. Answer B Concept 5

During inventory testing at a furniture maker, the controller hands the auditor a spreadsheet showing that obsolete stock was sold after year-end at full price. ~~The controller has been with the company twenty years and is well liked.~~ What reflects professional skepticism?

Target word: skeptical response **Decides:** The evidence is management's own summary.

A	Camouflage	Tenure and likability are not evidence.
B	Correct	Skepticism means corroborating claims with evidence from outside the preparer.
C	Dropped element	Checks the math but not whether the sales really happened.
D	Absolute language	Skepticism is neutral questioning, not presumed dishonesty.

9. Answer C Concept 6

A CFO decides to disclose a product-defect liability early, reasoning that honesty is owed to investors no matter how far the stock drops. ~~The company is based in Ohio and has 2,000 employees.~~ Which ethical framework is the CFO using?

Target word: identify the framework **Decides:** A duty owed regardless of consequences.

A	Confusion set	Utilitarianism weighs consequences; the CFO explicitly sets them aside.
B	Adjacent category	Virtue ethics asks what a person of good character would do, not what duty requires.
C	Correct	Acting on a duty regardless of outcome is deontological.
D	Inverted operation	Egoism serves self-interest; this choice costs the company.

10. Answer D Concept 6 · transfer

An accountant supports a layoff plan because it keeps the company solvent and protects the most jobs overall. Which framework is this?

Target word: identify the framework — consequence reasoning **Decides:** Chooses the greatest net good.

A	Inverted operation	Deontology would focus on duties owed, not the best total outcome.
B	Adjacent category	Virtue ethics centers on character, not outcome totals.
C	Confusion set	Justice focuses on fair distribution, not total good.
D	Correct	Weighing outcomes to maximize total good is utilitarian.

11. Answer C Concept 7

A new tax associate notices a client's large deductions for business travel that match family vacations, but sees it only as a data-entry task, not an ethical issue. ~~He joined during tax season and works long hours.~~ In Rest's four-component model, which component is missing?

Target word: which component failed **Decides:** He did not recognize an ethical issue at all.

A	Adjacent category	Motivation is prioritizing ethics over other values once the issue is seen.
B	Confusion set	Judgment comes after recognizing the issue; he never got there.
C	Correct	Failing to recognize the issue is a sensitivity failure.
D	Camouflage	Workload explains pressure, but the failure came earlier: he never saw the issue.

12. Answer C Concept 8

A CPA firm receives a valid court subpoena for a client's workpapers in a civil lawsuit. The client, a regional trucking company, asks the firm not to comply. ~~The engagement partner is nearing retirement.~~ What does the AICPA Code allow?

Target word: confidentiality exception **Decides:** A validly issued subpoena.

A	Adjacent category	A business sale is not a confidentiality exception.
B	Absolute language	Confidentiality has specific exceptions, including subpoenas.
C	Correct	Complying with a valid subpoena is a listed exception to confidentiality.
D	Dropped element	Drops the exception; consent is not required for a valid subpoena.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	4	
Absolute language	Always, never, guarantee — where judgment applies.	6	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Threats and safeguards framework	Identify the threat (self-interest, self-review, advocacy, familiarity, undue influence, management participation), evaluate it, and apply safeguards until it is at an acceptable level.	Thinking only money creates a threat, or mislabeling the threat type.	Long tenure, close relationships, or reviewing one's own work.
2	Financial interests and independence	Any direct financial interest held by a covered member impairs independence regardless of size; an indirect interest impairs only if material.	Applying a materiality test to a direct holding.	An engagement team member owns client stock outright or through a fund.
3	IMA Statement of Ethical Professional Practice	Four standards: competence, confidentiality, integrity, credibility. To resolve an issue, go to the immediate supervisor unless that person is involved, then escalate internally; do not go outside unless legally required.	Going straight to regulators or the press, or to an involved supervisor.	A management accountant who suspects a superior.
4	Errors under the Statements on Standards for Tax Services	On finding an error in a prior return, promptly tell the client, explain consequences and recommend correction; do not tell the taxing authority without client permission; consider withdrawing if the client refuses.	Reporting the client to the IRS, or ignoring an error another firm made.	A CPA discovers an omission in a previously filed return.
5	Professional skepticism	A questioning mind: corroborate management's claims with independent evidence rather than trust or presume dishonesty.	Accepting evidence from a trusted insider, or treating skepticism as accusation.	Management hands over its own summary to support an assertion.
6	Ethical frameworks	Deontology judges by duties and rights regardless of consequences; utilitarianism by the greatest net good; virtue ethics by character; justice by fair distribution.	Labeling any principled choice utilitarian.	Reasoning phrased as owed regardless of outcome vs. best overall outcome.
7	Rest's four-component model	Ethical action needs moral sensitivity (recognize the issue), judgment (decide what is right), motivation (prioritize it), and character (follow through).	Assuming the failure was judgment when the person never noticed an issue.	Someone treats an ethical problem as a routine task.

#	Concept	Rule	Trap	Tell
8	Confidentiality and its exceptions	Client information stays confidential without consent, except for valid subpoenas or legal requirements, peer and quality reviews, and professional ethics investigations.	Believing confidentiality is absolute, or that business convenience is an exception.	A subpoena, a regulator, or a third party asks for client files.

Course scope (public description): Ethics for Accountants examines standards of professional conduct and business practices required for accounting professionals. This course will discuss the necessity of applying ethical principles in the application of accounting principles, tax preparation, and attest services to clients. Moreover, the learner will explore how to apply ethical reasoning, various cognitive processes, professional skepticism and ethical decision-making related to situations involving corporate governance and moral dilemmas. Finally, this course will include discussions of the American Institute of Certified Public Accountants' (AICPA) Statements on Standards for Tax Services and the Institute of Management Accountants' (IMA) Statement of Ethical Professional Practices.